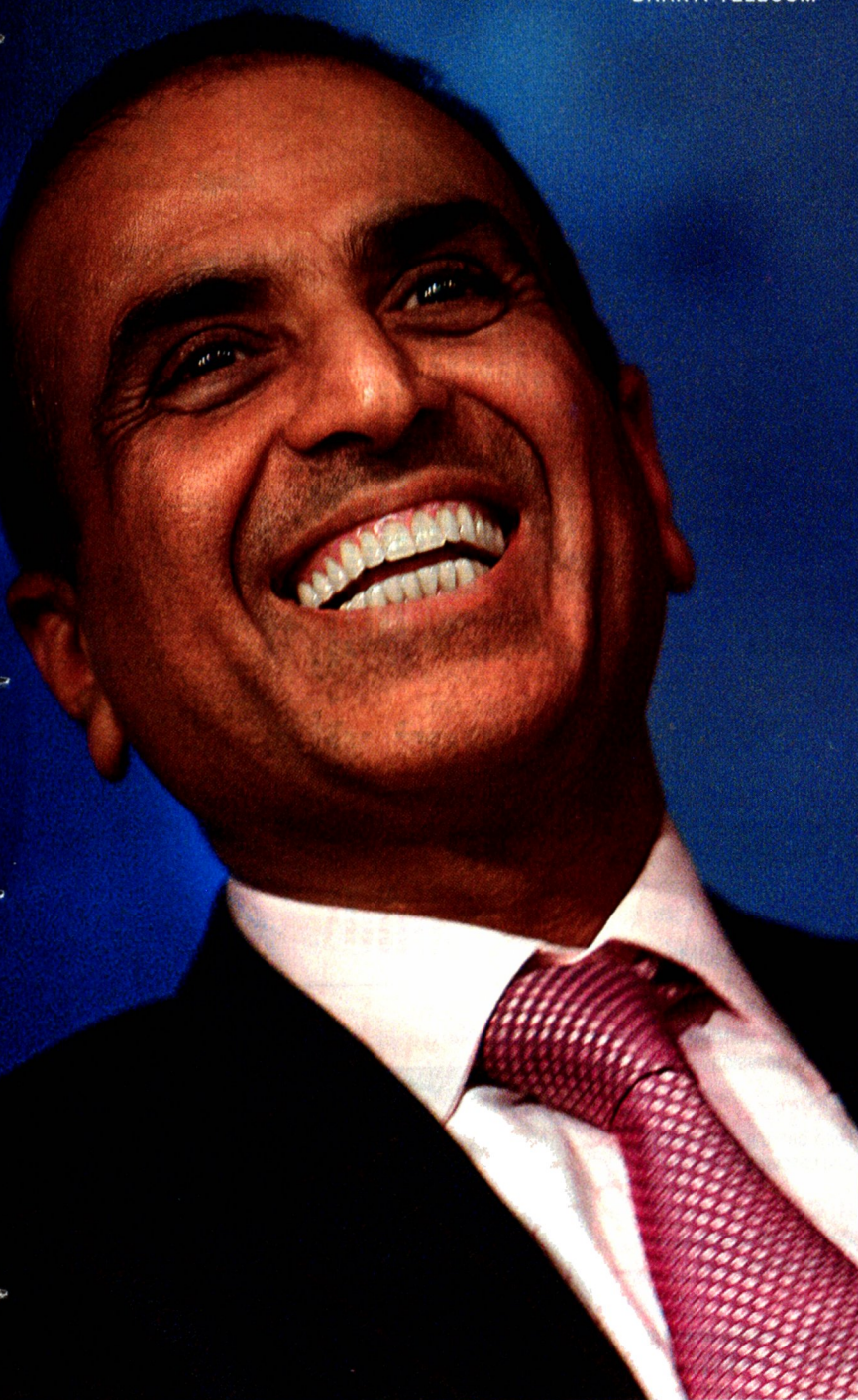


"THE STRENGTH OF OUR BRAND AND THE HISTORICAL CONNECT COUPLED WITH OUR UNIQUE BUSINESS MODEL WILL HELP US TO UNLOCK THE POTENTIAL OF AFRICA."

SUNIL BHARTI MITTAL
CHAIRMAN AND MANAGING DIRECTOR
BHARTI TELECOM



BIG TICKET

The deal expands Bharti's global telecom footprint to 21 countries

Sunil Bharti Mittal has been chasing that big-ticket global acquisition since the days of manufacturing Beetel telephone instruments. All he had then was an intense desire to do something big and in a different way. That vision, despite slipping twice on the takeover of MTN, has now culminated in the \$10.7-billion acquisition of Zain. It is as Mittal says, "a landmark agreement" in every sense—from marking Bharti's first megabucks takeover of a foreign company to the biggest entry into Africa—one of the few remaining global high growth markets—by an Indian company. More than that, the acquisition, as Mittal sees it, is a game changer which will transform Bharti Airtel into a truly global telecom company. Under the agreement, Bharti will acquire Zain's African mobile services operations in 15 countries with a total customer base of over 42 million. Zain is the market leader in 10 of these countries. The Bharti Group's global telecom footprint will expand to 21 countries. It is obviously a big deal for India as well, agrees Amit Mitra, secretary-general, FICCI. "This is the first time an Indian telecom firm has gone ahead and acquired a global major. It will enhance India's brand equity and add a new dimension to the India growth story," says Mitra. The roadmap for Mittal is clear—he must get the regulatory approvals required under the terms of the deal. Once that is done, \$8.3 billion will get transferred and the remaining \$700 million will be transferred after one year. Bharti, which has generated \$1.2 billion in debt, would look at fund-raising activities in future.

